HINDUSTAN ZINC LIMITED

CHAIRMAN'S MESSAGE;

Priya Agarwal Hebbar

The Chairman clearly communicates that Hindustan Zinc is focused on long-term and sustainable growth, rather than short-term gains. The company is strengthening its operations, controlling costs, and investing in innovation to remain competitive in a fast-changing global environment. This long-term approach has earned Hindustan Zinc international recognition as the world's most sustainable metals and mining company, highlighting its strong ESG practices.

A key theme in the message is the critical role of zinc, silver, and lead in India's economic and environmental future. These metals are essential for clean energy technologies, electric mobility, batteries, and modern infrastructure. As India works towards net-zero emissions and greater self-reliance, the demand for these minerals is expected to rise significantly. Hindustan Zinc sees this as a major opportunity to support national priorities while strengthening its own business.

The Chairman also discusses how global challenges such as geopolitical tensions, supply-chain risks, and energy transition have increased the strategic importance of critical minerals. In this context, Hindustan Zinc is well positioned due to its global scale, advanced technology, and cost leadership. During FY2025, the company achieved record levels of mined and refined metal production, reduced production costs, and maintained a dominant share in India's zinc market. Strong financial performance translated into high shareholder returns.

Safety and sustainability are highlighted as non-negotiable values. The company continues to invest in advanced safety systems and risk management programs to achieve zero harm. Environmental responsibility is reflected in initiatives such as low-carbon zinc production, higher use of renewable energy, water positivity, and circular economy practices. These efforts help reduce environmental impact while creating long-term value.

Beyond business performance, the Chairman emphasizes people-centric growth. Hindustan Zinc invests in employee skills, digital learning, diversity, and inclusion, especially increasing women's participation in core operations. The company also plays an active role in community development through education, health, livelihoods, and women-focused programmes, ensuring that growth benefits society as a whole.

Looking ahead, the Chairman expresses confidence in Hindustan Zinc's future. With planned capacity expansion, deep-tech innovation in mineral exploration, and a strong focus on green metals, the company aims to remain a global leader. Overall, the message reflects a balance

between profitability, responsibility, and national development, positioning Hindustan Zinc as a key contributor to India's sustainable growth story.

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MANAGEMENT DISCUSSIONS & ANALYSIS;

In FY2025, the global zinc market remained volatile due to macroeconomic uncertainty, geopolitical tensions, and trade disruptions. However, zinc prices stayed relatively strong as global inventories declined and supply growth remained constrained. At the same time, demand continued to grow steadily, especially from infrastructure and manufacturing sectors, resulting in a tight market condition.

On the supply side, global refined zinc production declined, while consumption increased moderately, creating a supply deficit. Trade restrictions and tariff-related uncertainties in the US affected global trade flows, but these were partly offset by increased infrastructure spending in regions such as China and Europe. As a result, zinc continues to be viewed as a strategically important metal, particularly due to its role in galvanisation, renewable energy infrastructure, and energy storage applications.

India emerged as one of the strongest demand markets for zinc. Growth in domestic manufacturing, infrastructure development, and higher government capital expenditure supported strong zinc consumption. The resilient outlook for India's economy positions it as a key driver of global zinc demand in the coming years.

Hindustan Zinc is well placed to benefit from these market conditions. The company continues to maintain a dominant position in India's primary zinc market and achieved record domestic sales during the year. An increasing share of value-added products has strengthened margins and customer relationships. The launch of low-carbon zinc, EcoZen, reflects the company's proactive approach towards sustainability and growing demand for green metals.

Overall, the company's strong cost position, market leadership, and focus on sustainable products provide a solid foundation to capitalise on tightening global supply, rising domestic demand, and the long-term energy transition.

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LEAD INDUSTRY SCENARIO;

In India, lead demand is growing steadily, mainly because of vehicles, batteries, and infrastructure work. Even though electric vehicles are increasing, lead is still widely used in starter batteries, backup power systems, telecom towers, and solar installations. Another major change in the industry is the growing use of recycled lead, as it is cheaper and can be reused many times. Government support, such as removing customs duty on lead scrap, has made recycling more attractive and organised.

Battery usage in the country is changing, but lead-acid batteries have not disappeared. Lithium-ion batteries are expanding, especially in electric vehicles, but lead-acid batteries are still needed for replacement demand, power backup, and grid stability. Because of this, lead demand remains stable in the short term, even though long-term growth may slow down.

Globally, lead prices remained mostly stable during the year. Production was slightly higher than consumption, which created a small surplus in the market. High interest rates across major economies reduced big investments, but industrial activity and demand for batteries and infrastructure helped maintain consumption.

Hindustan Zinc plays a major role in this industry. It is the largest lead producer in India and increased its market share by focusing on high-quality, pure lead. The company has strengthened its domestic presence while continuing exports and is working toward selling more lead within India by expanding applications and customers.

Looking ahead, lead demand is expected to grow slowly. Electric vehicles may reduce dependence on lead-acid batteries in the long run, but lead will continue to be important because it is reliable, affordable, and highly recyclable. With strong government support, growing domestic demand, and increasing market share, Hindustan Zinc is well placed to benefit from the changing lead industry.

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CORPORATE SOCIAL RESPONSIBILITY;

At Hindustan Zinc, corporate social responsibility and sustainability are treated as part of normal business, not as an extra activity. The company believes that it cannot grow alone; the people, communities, and environment around it must also grow together.

One of the biggest priorities is safety. The company works continuously to reduce accidents and improve working conditions. Training programs, safety checks, and strict rules are followed so that employees and contractors feel safe at work. The aim is simple everyone should return home safely at the end of the day.

The company also focuses a lot on community development. It supports nearby villages by helping with education, healthcare, drinking water, sanitation, skill development, and livelihood opportunities. These efforts help local people become more independent and improve their standard of living. Women and children receive special attention through education, health, and nutrition programs

Employee development is another important area. Hindustan Zinc invests in training and learning so that employees can grow their skills and adapt to new technologies. The company also encourages diversity, especially increasing the number of women in the workforce, which is important in the mining and metals industry.

On the environmental side, the company works to reduce pollution and protect natural resources. It is cutting down carbon emissions, increasing the use of renewable energy, and using energy more efficiently. Many plants recycle water and reduce the use of fresh water, which is very important because several operations are located in water-scarce regions.

Waste management is also taken seriously. The company tries to reuse and recycle waste as much as possible instead of dumping it. It also works on protecting plants, animals, and biodiversity around its mining areas so that nature is not damaged by operations.

Sustainability is also linked to products. The launch of EcoZen, a low-carbon zinc produced using renewable energy, shows how the company is trying to offer cleaner and more responsible products. This helps customers reduce their environmental impact and prepares the company for future demand for green materials.

Overall, Hindustan Zinc's approach to CSR and sustainability is practical and action-oriented. Instead of only talking about responsibility, the company focuses on real steps taking care of people, supporting communities, protecting the environment, and building a stronger and more responsible business for the future.

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DIRECTOR REPORT;

The Directors explain that FY2025 was a good and stable year for Hindustan Zinc. Even though the metals industry faced price changes and global uncertainty, the company continued to perform well because of strong operations, careful cost control, and clear planning.

Hindustan Zinc is a well-established company with more than 50 years of experience. It produces zinc, lead, and silver and also makes value-added products used by industries like construction, automobiles, and infrastructure. The company has a strong resource base and long mine life, which means it can continue operating for many years without major supply issues. Its integrated operations help control quality, cost, and delivery.

During the year, the company achieved high production levels and improved efficiency at its mines and plants. Better recovery, improved processes, and the use of technology helped the company stay among the lowest-cost producers in the world. This strong operational performance supported good financial results, including healthy revenue and profits.

The Directors also highlight that safety and sustainability are taken seriously. Safety is treated as a daily responsibility, not just a rule, and continuous efforts are made to reduce accidents and improve working conditions. The company is also working to reduce its environmental impact by using more renewable energy, saving water, recycling waste, and developing low-carbon products like EcoZen.

Corporate governance is another important focus. The Board ensures that the company follows all laws, maintains transparency, and uses strong internal control systems. Risks such as market changes, price volatility, and operational challenges are regularly reviewed so that problems can be handled early.

The Directors also recognise the company's role in supporting the economy and society. Hindustan Zinc contributes significantly to government revenue through taxes, royalties, and dividends and also supports communities near its operations through development programs.

Looking ahead, the Board is positive but realistic about the future. With ongoing expansion projects, a strong balance sheet, and growing demand for metals used in infrastructure and clean energy, the company is well prepared for long-term growth. The Directors believe that Hindustan Zinc can continue to grow responsibly while creating value for shareholders, employees, communities, and the environment.

HINDUSTAN ZINC LIMITED

PRESENTATION;

The company presentation gives a clear and practical view of how Hindustan Zinc is performing and what it plans to do next. It is designed to help investors and readers quickly understand the business without going into too much technical detail.

The presentation first explains what the company does. Hindustan Zinc is shown as a strong player in zinc, lead, and silver, with a leading position in India. Its integrated operations and long mine life help the company manage production smoothly and control costs.

It then talks about how the company is performing on the ground. The presentation shows that production levels are stable and efficiency has improved. The company focuses on using technology, improving processes, and keeping costs under control so that it can perform well even when market conditions change.

Financial strength is another key point. The presentation highlights that good operations have resulted in healthy profits and strong cash flows. This financial stability allows the company to invest in new projects, support sustainability efforts, and continue rewarding shareholders.

A major part of the presentation focuses on sustainability and responsibility. Hindustan Zinc highlights its efforts to reduce environmental impact through higher use of renewable energy, lower emissions, better water management, and waste reduction. The launch of low-carbon zinc, EcoZen, shows how sustainability is also being used to create better and more responsible products.

The presentation also looks ahead. It explains the company's future growth plans, including capacity expansion, new projects, and continued investment in technology. These plans are linked to expected demand from infrastructure development and clean energy sectors.

Overall, the presentation gives a balanced and realistic message. It shows that Hindustan Zinc is financially strong today, aware of its responsibilities, and preparing carefully for the future. The tone is confident but practical, focusing on steady growth rather than aggressive promises.

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CONCALL MEETING;

In the concall meeting, the management mainly talked about how the company did this year and what they are planning next. Overall, they sounded calm and confident, not showing off, and not hiding problems either.

They explained that the company performed well because production was steady and costs were under control. Even though metal prices go up and down and the global situation is not very stable, the company managed things well because its operations are strong and well planned.

When people asked about the future, the management said they are not rushing blindly. Expansion plans are there, but they will be done step by step and only when it makes sense. They clearly said they don't want to take unnecessary risks or spend too much money at once.

Sustainability also came up in the discussion. The management said that things like using renewable energy, reducing pollution, saving water, and making low-carbon products are not just for reports. These steps are important for the company to survive and grow in the long run.

They also spoke honestly about risks. They accepted that metal prices, government rules, and global issues can create problems. But they said the company has enough cash, good planning, and strong systems to handle such situations.

Overall, the concall felt open and straightforward. The management did not make big promises. Instead, they showed that Hindustan Zinc is focused on doing things steadily, controlling costs, growing responsibly, and thinking long term.

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NEWS (LATEST 2 MONTHS)

So basically, when you look at Hindustan Unilever Limited in the last couple of months, nothing dramatic has happened. It's not like the company is in trouble or doing something extraordinary. It's more of a calm, slow, steady phase.

HUL is one of those companies that sells things people use every single day—soap, shampoo, detergent, food items. Because of that, sales don't suddenly stop, even if the economy is weak. But at the same time, growth is also not very fast right now because customers are careful about spending and competition is high. So the business is running fine, but it's not exciting.

One important thing HUL did recently was separating its ice-cream business. Ice-cream is a very different kind of business compared to soaps and detergents. It depends on seasons, needs cold storage, and has a different cost structure. So HUL decided it's better to keep ice-cream as a separate company and let the main company focus fully on daily-use FMCG products. This doesn't mean ice-cream was bad it just means it didn't fit perfectly with the rest of the business.

Apart from that, HUL has been quietly working on improving how products are moved from factories to shops. They're trying to reduce transport costs, improve delivery planning, and avoid wastage. These are not things that immediately show in profits or share prices, but over time they help the company save money and stay efficient.

Now about the share price some days it goes up, some days it goes down. That's mainly because investors already see HUL as a safe company, so they expect something extra like faster growth or higher margins. Since growth is slow right now, investors are a bit neutral. It's not fear, it's more like "let's wait and watch."

Still, many investors and analysts trust HUL because it has strong brands and steady cash flow. It's the kind of company that may not give quick profits, but it doesn't collapse easily either. People see it as a long-term, stable business.